

# Notes: Goldman, Rocholl, and So (RFS, 2009)

## Do Politically Connected Boards Affect Firm Value?

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## 1 Big picture

- **Question.** Do political connections on corporate boards create value for large U.S. firms, even in a country with strong legal institutions and relatively high legal and reputational costs of explicit favoritism?
- **Setting.** The paper studies S&P 500 firms and uses hand-collected proxy-statement data to identify directors with prior political careers or government positions. Firms are classified as Republican-connected, Democratic-connected, mixed-connected, or not politically connected.
- **Core idea.** If political connections are valuable, then the market should capitalize those connections when political power changes and when a firm announces that it has added a politically connected director.
- **Main event 1: the 2000 presidential election.** The election was unusually close and uncertain. The authors test whether firms connected to the eventual winning party, the Republicans, gained value relative to firms connected to the Democrats.
- **Main event 2: nominations of politically connected directors.** The authors also study abnormal returns around announcements that a firm nominates a politically connected person to its board.
- **Main result from the election event.** Republican-connected firms earn positive abnormal returns after the 2000 election, while Democratic-connected firms, especially in value-weighted portfolios, earn negative abnormal returns. The return spread between Republican- and Democratic-connected firms is economically large and statistically significant.
- **Main result from nomination events.** Announcements of politically connected board nominations generate positive abnormal returns. The effect appears for both Republican and Democratic nominees.
- **Board interpretation.** Boards do not only monitor or advise management. They may also create value through access, information, regulatory knowledge, procurement channels, and influence in government.
- **Important distinction.** Board connections are different from political donations. Donation variables become much weaker after industry adjustment, while board-connection variables remain significant. The paper interprets donations as more likely reflecting industry political preferences, and board connections as closer to firm-level political influence.
- **Economic takeaway.** Political connections are capitalized by equity markets. Even in the United States, politically connected directors appear to be valuable corporate assets.

## 2 Incremental contribution of the paper

- **From weak-institution countries to the United States.** Earlier work, such as Fisman on Indonesia and Faccio on cross-country political connections, focuses heavily on environments where corruption or weak institutions make political ties especially valuable. This paper shows that political connections can matter even in the U.S. legal and institutional environment.
- **A direct board-based measure of political connections.** Instead of using campaign contributions or industry exposure, the paper hand-collects director biographies from SEC proxy

statements and identifies former politicians, administration officials, regulators, ambassadors, governors, mayors, and similar political actors.

- **A clean political-power event.** The 2000 Bush-Gore election is useful because the outcome was close and highly uncertain. A Republican victory should raise the value of Republican connections and reduce the value of Democratic connections if political access is priced.
- **A second identification strategy.** The paper does not rely only on the 2000 election. It also studies firm-level announcements of politically connected board nominations. This helps separate the value of acquiring a connection from the value of a party's election victory.
- **Board-function contribution.** The paper adds a new board role to the corporate governance literature: boards can create value through political connections, not only through monitoring, advising, financial expertise, or independence.
- **Connections versus preferences.** By comparing board ties with donation data and then industry-adjusting returns, the paper argues that board connections capture firm-specific political access more directly than political contributions do.
- **Mechanism-oriented robustness.** The paper tests whether the effect is driven by related industry expertise, former career type, nomination order, regulated industries, high-procurement industries, or the general effect of adding independent directors. No single alternative fully explains the results.

### 3 Data and measurement

#### 3.1 Board-connection data

- The main board data come from SEC proxy statements, especially DEF 14A filings, for S&P 500 firms in 1996 and 2000.
- A director is classified as politically connected if the director previously held a relevant political or government position, such as president, presidential or vice-presidential candidate, senator, House member, secretary, deputy secretary, governor, CIA or FEMA director, commissioner, ambassador, mayor, White House staff, campaign staff, party caucus chair, or member of a presidential committee.
- A firm is **connected** if at least one director has such a background.
- A firm is **Pure Republican** if it has at least one Republican-affiliated connected director and no Democratic-affiliated connected director.
- A firm is **Pure Democratic** if it has at least one Democratic-affiliated connected director and no Republican-affiliated connected director.
- At the time of the 2000 election, 153 S&P 500 firms are classified as politically connected; 78 are pure Republican and 47 are pure Democratic.
- The paper also classifies whether a director's prior political role is **related** to the firm's industry. For example, a senator from an energy-related committee joining an oil company would be classified as related.

**Interpretation:** The measure is conservative. It captures visible, biography-based board connections, but it does not capture all possible political access through lobbyists, consultants, executives, private networks, or informal relationships.

### 3.2 Donation data

- Donation data come from the Center for Responsive Politics and ultimately from Federal Election Commission disclosures.
- The donation sample uses publicly listed firms among the largest contributors across CRP industries in the 1999-2000 election cycle.
- The donation sample contains 315 companies with total donations of about \$246 million.
- Sample firms donate more to Republicans than to Democrats: about \$157.5 million to Republicans and about \$87.8 million to Democrats.
- Many firms donate to both parties, which is consistent with hedging or access motives rather than a pure ideological position.

**Interpretation:** Donations are useful as a comparison measure, but the paper argues that donations may reflect industry-wide policy preferences more than firm-specific political connections.

### 3.3 Election returns and firm controls

- The main election analysis uses cumulative abnormal returns after the November 7, 2000 presidential election.
- Abnormal returns are computed relative to the CRSP value-weighted market index in the market-adjusted specifications.
- The paper also uses Fama-French thirty-industry returns to form industry-adjusted returns.
- Cross-sectional controls include firm size, book-to-market, and market-adjusted past returns.
- The key event window in the cross-sectional analysis is (+1, +3), because election information was revealed after the close of trading on Election Day.

**Interpretation:** The election design asks whether the market revalues firms when the political party associated with their board connections unexpectedly gains power.

### 3.4 Nomination data and matched sample

- The authors begin with politically connected board members observed in S&P 500 firms in 1996 and 2000, then search Lexis-Nexis for nomination announcements involving those individuals.
- They find 592 nomination announcements from 1981 to 2005.
- They exclude announcements that coincide with other price-relevant news such as earnings, dividends, share repurchases, or M&A activity.
- The final nomination-event sample contains 349 announcements.

- The matched-sample analysis compares politically connected nominations with nearby same-firm announcements of nonpolitical independent director nominations.

**Interpretation:** The nomination event captures the market’s response when uncertainty is resolved about whether a firm has obtained a scarce politically connected director. The matched sample helps show that the result is not just the usual effect of adding an outside director.

## 4 Models and empirical specifications

### 4.1 Market-adjusted event-study CARs

For each firm  $i$ , the market-adjusted cumulative abnormal return over event window  $[t_1, t_2]$  can be written as

$$CAR_i(t_1, t_2) = \sum_{t=t_1}^{t_2} (R_{it} - R_{mt}),$$

where  $R_{it}$  is the firm’s stock return and  $R_{mt}$  is the CRSP value-weighted market return.

- Table 3 computes portfolio CARs for firms with pure Republican and pure Democratic board connections.
- The central prediction is that Republican-connected firms should outperform Democratic-connected firms after a Republican election win.
- The paper reports both equally weighted and value-weighted portfolio CARs.

**Interpretation:** Equal weighting asks about the average firm. Value weighting asks whether the effect is especially important for large firms.

### 4.2 Industry-adjusted event-study CARs

The industry-adjusted version replaces the market return with an industry return:

$$CAR_i^{ind}(t_1, t_2) = \sum_{t=t_1}^{t_2} (R_{it} - R_{Industry(i),t}).$$

- Industry returns are based on the Fama-French thirty-industry classification.
- This specification addresses the concern that Republican-connected firms are simply concentrated in industries that benefit from Republican policy platforms.

**Interpretation:** If the board-connection result survives industry adjustment, it is less likely to be only an industry-policy effect.

### 4.3 Cross-sectional election regressions

The baseline cross-sectional specification can be summarized as

$$CAR_i = \alpha + \beta_1 BoardRepDem_i + \beta_2 DonationRepDem_i + \Gamma' X_i + \varepsilon_i,$$

where  $X_i$  contains controls such as log market capitalization, book-to-market, and market-adjusted past returns.

- $BoardRepDem_i = 1$  for pure Republican board connections,  $-1$  for pure Democratic board connections, and  $0$  otherwise.
- $DonationRepDem_i = 1$  when a firm donates more to Republicans than Democrats,  $-1$  when it donates more to Democrats than Republicans, and  $0$  otherwise.
- Alternative specifications split the connection variables into Republican-board and Democratic-board dummy variables.

**Interpretation:** The coefficient on board connections tests whether political board ties explain postelection returns after conditioning on standard firm characteristics.

#### 4.4 Nomination announcement effects

For board nomination announcements, the paper estimates abnormal returns around the  $(0, +1)$  window:

$$CAR_i(0, +1) = \sum_{t=0}^1 (R_{it} - R_{benchmark,t}).$$

- The benchmark follows the same event-study logic used in the election analysis.
- The event is the announcement that a politically connected person is nominated to the board.
- The paper studies subgroups by nominee party, former career, nomination order, political control at the time of nomination, industry regulation, procurement intensity, and relatedness of the political experience.

**Interpretation:** Positive nomination returns mean that the market views the acquisition of political access as valuable even before observing any specific future political favor.

#### 4.5 Matched director-nomination tests

- For each politically connected nomination, the authors search for the closest same-firm nomination of a nonpolitical board member within a  $[-3, +3]$ -year window.
- They compare the announcement return of the original political nomination with the matched nonpolitical nomination.
- They repeat the comparison after excluding CEO nominations, internal promotions, and multiple board announcements.

**Interpretation:** This is a strong robustness check. If political nominations generate positive returns while nonpolitical independent nominations do not, then the return is more likely due to political connection rather than director independence alone.

## 5 Identification and empirical design

### 5.1 What the design can identify

- The paper identifies whether the stock market values political connections, not every precise channel through which those connections create value.

- The 2000 election design identifies a differential revaluation of connected firms when political power changes.
- The nomination design identifies the market response when a firm obtains a politically connected director.

**Interpretation:** The strongest reading is an event-study valuation result: equity prices respond as if political connections are valuable assets.

## 5.2 Why the 2000 election is useful

- The Bush-Gore election was close and uncertain before and after Election Day.
- A Republican win should increase expected access value for Republican-connected firms and reduce expected access value for Democratic-connected firms.
- The disputed period provides additional robustness events: news favorable to Democrats produces the opposite pattern from news favorable to Republicans.

**Interpretation:** The closeness of the election makes the event more informative than a predictable election outcome.

## 5.3 Industry-preference and donation concerns

- One concern is that firms with Republican boards may simply be in industries that benefit from Republican policies.
- The paper addresses this using Fama-French industry-adjusted returns.
- Board variables remain significant after industry adjustment, whereas donation variables become weaker or insignificant in key dummy specifications.
- The paper also notes that Republican and Democratic board-connected firms are not distributed in sharply different industries.

**Interpretation:** This supports the idea that board connections are not merely proxies for industry political preferences.

## 5.4 Nomination-event concerns

- Nominations are not random. Firms that hire former politicians may differ from firms that do not.
- The event-study design relies on the announcement resolving uncertainty about whether a firm gets a politically connected director.
- The matched-sample tests help address the possibility that the result is simply due to appointing an independent director or due to firm-specific board changes.
- Subgroup tests show that related political expertise is valuable, but not-related political connections still produce positive abnormal returns.



**Interpretation:** The evidence is consistent with political connections creating value, but the design does not fully reveal whether the value comes from procurement, regulation, information, lobbying effectiveness, or access to policymakers.

## 5.5 Main limitations

- The paper observes market reactions rather than the exact political favors or actions that later occur.
- The board-connection measure is conservative and may miss other forms of political influence.
- The nomination sample is restricted to connected directors found in S&P 500 boards in 1996 and 2000, then traced through other nominations.
- Political connections may be endogenous to firm demand for government access.
- The estimates capture market expectations about value, not necessarily realized long-run operating benefits.

## 6 Tables and figures

### 6.1 Table 1: Board connections

**Read:**

- Table 1 describes S&P 500 firms in 2000 by political connection status.
- 340 firms are independent, 153 are politically connected, 78 are pure Republican, and 47 are pure Democratic.
- Connected firms are larger than independent firms on average: mean market capitalization is \$32.0 billion for connected firms versus \$20.9 billion for independent firms.
- Average tenure of politically connected directors is 5.48 years for connected firms, 6.07 years for pure Republican firms, and 3.32 years for pure Democratic firms.
- The note under the table defines the political positions used to classify a director as connected.

**Economic message:** Table 1 is the measurement foundation of the paper. It shows that politically connected boards are common among large U.S. firms and that connected firms are typically large, which helps explain why value-weighted tests are important.

### 6.2 Table 2: Donations

**Read:**

- Table 2 summarizes the corporate donation sample from the 1999-2000 election cycle.
- The sample contains 315 companies and \$245.7 million in donations.
- Sample firms donate \$157.5 million to Republicans and \$87.8 million to Democrats.
- Republican donation share is 64.1% in the sample, compared with 54.9% in the broader CRP population.

- Sample companies are large: mean market capitalization is about \$31.5 billion.

**Economic message:** Table 2 provides the comparison measure. Donations are politically informative, but because firms often donate to both parties and because donation patterns may be industry-wide, donations are not as direct a firm-level connection measure as board ties.

**Table 1**  
Board connections

|                                                       | Independent companies |        | Connected companies |        | Pure Rep. companies |        | Pure Dem. companies |        |
|-------------------------------------------------------|-----------------------|--------|---------------------|--------|---------------------|--------|---------------------|--------|
|                                                       | Mean                  | Median | Mean                | Median | Mean                | Median | Mean                | Median |
| Market cap (in \$ million)                            | 20,894                | 7246   | 32,028              | 10,201 | 31,270              | 10,693 | 21,621              | 7784   |
| Sales (in \$ million)                                 | 9014                  | 4534   | 15,308              | 8640   | 13,931              | 8520   | 14,267              | 6103   |
| Assets (in \$ million)                                | 23,545                | 6140   | 37,137              | 13,077 | 21,747              | 12,079 | 49,792              | 15,149 |
| P/E ratio                                             | 35.6                  | 19.8   | 33.0                | 19.6   | 38.1                | 22.2   | 24.5                | 14.9   |
| Number of companies                                   | 340                   | 340    | 153                 | 153    | 78                  | 78     | 47                  | 47     |
| Tenure of politically connected board members (years) | NA                    | NA     | 5.48                | 5.5    | 6.07                | 6.5    | 3.32                | 3.5    |

This table presents descriptive statistics of the S&P 500 companies in the year 2000 sorted based on the political connections of their board members. The reported values for *Market cap*, *Sales*, *Assets*, and *P/E ratio* are measured as of the end of 1999. This information is (partly) missing for seven companies. A company is classified as politically connected if it has at least one board member with one of the following former positions: president (Gerald R. Ford), presidential (vice-presidential) candidate, senator, member of the House of Representatives, (assistant) secretary, deputy secretary, deputy assistant secretary, undersecretary, associate director, governor, director (CIA, FEMA), deputy director (CIA, OMB), commissioner (IRS, NRC, SSA, CRC, FDA, SEC), representative to the United Nations, ambassador, mayor, staff (White House, president, presidential campaign), chairman of the Party Caucus, chairman or staff of the presidential election campaign, and chairman or member of the president's committee/council. A company is classified as Pure Rep. (Pure Dem.) if it has only Republican (Democratic) affiliated board members.

**Table 2**  
Donations

| A: Donations                |            |                  |  |
|-----------------------------|------------|------------------|--|
|                             | Population | Sample companies |  |
| Total donations (in \$1000) | 1,634,288  | 245,695          |  |
| Republicans (in \$1000)     | 896,520    | 157,502          |  |
| Total donations (%)         | 54.9       | 64.1             |  |
| Democrats (in \$1000)       | 722,256    | 87,764           |  |
| Total donations (%)         | 44.2       | 35.7             |  |
| Number of companies         |            | 315              |  |
| B: Company characteristics  |            |                  |  |
|                             | Mean       | Median           |  |
| Market cap (in \$ million)  | 31,478     | 7,671            |  |
| Sales (in \$ million)       | 13,516     | 6,288            |  |
| Assets (in \$ million)      | 38,038     | 9,375            |  |
| P/E ratio                   | 28.5       | 16.5             |  |
| Number of companies         | 315        | 315              |  |

This table presents descriptive statistics for the sample of donating companies. The reported values for *Market cap*, *Sales*, *Assets*, and *P/E ratio* are measured as of the end of 1999. Donation data are provided by the Center for Responsive Politics (CRP) and are based on information furnished by the Federal Election Commission regarding political contributions to the two parties that exceed \$200. These contributions come from Political Action Committees (PACs), soft money donors, and individuals in the 1999–2000 election cycle. For each election cycle, the CRP defines eighty industries and provides information on the twenty largest contributors in each of these industries. A company is included in the sample if it belongs to these contributors, it is publicly listed, and its total donations exceed \$100,000.

(a) Table 1: Board connections

(b) Table 2: Donations

### 6.3 Table 3: Postelection CARs of S&P 500 companies with board connections

Read:

- Table 3 is the main univariate election-event table.
- Panel A shows that pure Republican firms earn positive abnormal returns after the 2000 election. For example, over (+1, +3), the equally weighted CAR is 4.69% and the value-weighted CAR is 4.22%.
- Pure Democratic firms have negative value-weighted CARs. Over (+1, +3), the value-weighted CAR is -4.87%.
- The Republican-minus-Democratic return spread is large and significant across windows. Over (+1, +3), it is 4.63% equally weighted and 9.09% value weighted.
- Panel B shows that Republican-connected firms with related political expertise earn higher returns than not-related ones in some windows, but both groups have positive returns.
- Panel C shows that the effect is not confined to former senators, House members, or administration officials; other political backgrounds also matter.

**Economic message:** Table 3 is the clearest evidence that political access is priced. When Republicans win, Republican board connections become more valuable, while Democratic connections lose value.

### 6.4 Table 4: Cross-sectional analysis of postelection CARs adjusted by the market index

Read:

- Table 4 moves from portfolio comparisons to firm-level regressions.
- The dependent variable is the (+1, +3) postelection CAR adjusted by the CRSP value-weighted market index.
- Model 1 shows a positive and significant coefficient of 2.101 on Board Rep-Dem.
- Model 3 includes both board connections and donation variables; both remain positive and significant in the market-adjusted specification.
- Republican board dummy coefficients are positive, around 2.4 to 3.0 percentage points depending on specification.
- Democratic board dummy coefficients are negative, around -2.3 to -2.9 percentage points.
- Standard firm controls do not eliminate the board-connection result.

**Economic message:** Table 4 shows that the election result is not simply a raw portfolio artifact. Political board connections predict postelection CARs even after controlling for size, book-to-market, and momentum.

**Table 3**  
Postelection CARs of S&P 500 companies with board connections

| Connection type                 | Number of companies | Equally weighted CAR (%) |               |               |               | Value-weighted CAR (%) |                |                |                |
|---------------------------------|---------------------|--------------------------|---------------|---------------|---------------|------------------------|----------------|----------------|----------------|
|                                 |                     | (+1, +2)                 | (+1, +3)      | (+1, +5)      | (+1, +7)      | (+1, +2)               | (+1, +3)       | (+1, +5)       | (+1, +7)       |
| Pure Rep. (A)                   | 78                  | 2.80 (6.16**)            | 4.69 (6.00**) | 3.46 (4.81**) | 5.31 (6.18**) | 3.10 (7.00**)          | 4.22 (8.12**)  | 3.63 (4.93**)  | 4.94 (5.73**)  |
| Pure Dem. (B)                   | 47                  | -0.41 (0.28)             | 0.06 (1.42)   | -0.51 (0.39)  | 0.31 (1.45)   | -3.99 (6.00**)         | -4.87 (5.70**) | -5.34 (5.11**) | -4.38 (3.02**) |
| Difference (A – B) (t-value)    |                     | 3.21 (2.56**)            | 4.63 (6.71**) | 3.97 (2.94**) | 5.00 (4.49**) | 7.09 (9.34**)          | 9.09 (9.79**)  | 8.97 (7.29**)  | 9.30 (6.00**)  |
| Related (C)                     | 34                  | 3.54 (5.08**)            | 6.10 (7.13**) | 3.12 (4.40**) | 7.02 (5.26**) | 3.49 (4.57**)          | 4.52 (5.04**)  | 6.05 (4.62**)  | 7.00 (4.57**)  |
| Not related (D)                 | 44                  | 2.22 (3.74**)            | 3.60 (5.13**) | 2.18 (2.46*)  | 4.00 (3.58**) | 2.87 (5.29**)          | 4.04 (6.32**)  | 2.21 (2.78**)  | 3.72 (3.78**)  |
| Difference (C – D) (t-value)    |                     | 1.32 (1.47)              | 2.50 (2.34*)  | 0.94 (2.09*)  | 3.02 (1.77)   | 0.62 (0.69)            | 0.48 (0.45)    | 3.84 (2.66**)  | 3.28 (1.30*)   |
| SenateHouse, Administration (E) | 44                  | 2.79 (4.50**)            | 4.41 (6.14**) | 3.05 (3.23**) | 5.22 (4.64**) | 3.21 (5.10**)          | 4.52 (6.19**)  | 2.97 (3.14**)  | 5.14 (4.53**)  |
| Others (F)                      | 23                  | 2.84 (3.30**)            | 5.30 (4.96**) | 3.89 (2.73**) | 5.82 (3.31**) | 2.97 (3.78**)          | 4.79 (4.89**)  | 3.27 (2.44*)   | 5.14 (3.19**)  |
| Difference (E – F) (t-value)    |                     | -0.05 (-0.05)            | -0.89 (-0.72) | -0.84 (-0.51) | -0.60 (-0.30) | 0.24 (0.23)            | -0.27 (-0.22)  | -0.30 (-0.19)  | 0.00 (0.00)    |

Each company in the S&P 500 index in the year 2000 is classified based on the political connection of members of its board of directors. The information about the board of directors is taken from DEF 14c filings from the EDGAR database of the Securities and Exchange Commission (SEC). A company is classified as Pure Rep. (Pure Dem.) if it has only Republican (Democratic) affiliated board members. A company is classified as related (not related) if it has at least one (no) board member who served in a committee, department, or government agency that deals with the industry in which the nominating company operates. A company is classified as SenateHouse, Administration if it has at least one board member who served as a senator, member of the House, or member of the administration. It is classified as Others if it has at least one board member who served in any other political position and no board member who served in SenateHouse or administration. All abnormal returns are adjusted by the CRSP value-weighted index. The cumulative abnormal returns (CARs) of the value-weighted portfolio are weighted by the value of each company, and the CARs of the equally-weighted portfolio are equally-weighted across the companies. The estimation period is from day 500 to day 46 before the 2000 presidential election day, while the test period is from 1 day until 7 days after election day. All company returns and index returns are taken from the CRSP files. Unless indicated otherwise, t-values are in parentheses. The symbols \*, \*\*, and \*\*\* denote statistical significance at the 10%, 5%, and 1% levels, respectively.

**Table 4**  
Cross-sectional analysis of postelection CARs adjusted by the market index

| Model                                       | 1                 | 2                 | 3                 | 4                 | 5                  | 6                 | 7                 | 8                 | 9                 | 10                |
|---------------------------------------------|-------------------|-------------------|-------------------|-------------------|--------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| Constant                                    | 3.715<br>(1.47)   | 5.649<br>(2.19*)  | 5.369<br>(2.15*)  | 3.902<br>(1.57)   | 2.588<br>(1.02)    | 3.712<br>(1.44)   | 5.840<br>(1.53)   | 6.371<br>(2.52*)  | 3.458<br>(1.35)   | 6.261<br>(2.57*)  |
| lnCap                                       | -0.361<br>(1.39)  | -0.570<br>(2.15*) | -0.568<br>(2.15*) | -0.416<br>(1.59)  | -0.276<br>(1.05)   | -0.312<br>(1.19)  | -0.381<br>(1.48)  | -0.691<br>(2.60*) | -0.256<br>(1.26)  | -0.678<br>(2.46*) |
| Book to market                              | 4.118<br>(4.11**) | 3.089<br>(3.08**) | 3.528<br>(3.47**) | 3.898<br>(3.95**) | 4.272<br>(4.20**)  | 3.961<br>(3.94**) | 4.115<br>(4.14**) | 3.524<br>(3.50**) | 4.174<br>(4.18**) | 3.367<br>(3.30**) |
| Market-adjusted post return                 | 0.133<br>(3.18**) | 0.131<br>(3.08**) | 0.128<br>(3.01**) | 0.128<br>(3.01**) | 0.121<br>(2.77**)  | 0.143<br>(3.33**) | 0.135<br>(3.11**) | 0.125<br>(2.90**) | 0.135<br>(3.14**) | 0.125<br>(2.86**) |
| Board Rep-Dem                               | 2.101<br>(3.68**) | 1.962<br>(3.47**) | 1.962<br>(3.43**) |                   |                    |                   |                   |                   |                   |                   |
| Donations Rep-Dem                           |                   | 1.745<br>(3.63**) | 1.626<br>(3.43**) |                   |                    |                   |                   |                   |                   |                   |
| = 1 if Republican board                     |                   |                   | 2.977<br>(4.51**) | 2.353<br>(2.94**) |                    |                   | 2.710<br>(4.07**) | 2.443<br>(3.63**) | 2.668<br>(4.02**) | 2.443<br>(3.63**) |
| = 1 if Republican board in Republican state |                   |                   |                   | 1.810<br>(1.46)   |                    |                   |                   |                   |                   |                   |
| = 1 if Democratic board                     |                   |                   |                   |                   | -2.853<br>(2.53**) | -2.375<br>(2.10*) | -2.353<br>(2.08*) | -2.358<br>(2.08*) | -2.350<br>(2.08*) | -2.350<br>(2.08*) |
| = 1 if donates > 50% to Republicans         |                   |                   |                   |                   |                    |                   | 1.957<br>(3.30**) | 1.908<br>(3.10**) | 1.908<br>(3.10**) | 1.908<br>(3.10**) |
| = 1 if donates > 50% to Democrats           |                   |                   |                   |                   |                    |                   |                   | -1.278<br>(1.14)  | -0.243<br>(0.21)  | -0.243<br>(0.21)  |
| R-squared                                   | 0.1200            | 0.1139            | 0.1381            | 0.1218            | 0.1210             | 0.1099            | 0.1333            | 0.1507            | 0.1349            | 0.1508            |
| Number of observations                      | 493               | 493               | 493               | 493               | 493                | 493               | 493               | 493               | 493               | 493               |

The sample comprises all S&P 500 companies in the year 2000. The dependent variable is the CAR adjusted by the CRSP value-weighted market index in a period of (+1, +3) days following the 2000 presidential election on November 7, 2000. lnCap is the log of the company's market capitalization at the end of 1999. Book to market is the ratio of book value of equity and market value of equity at the end of 1999. Market-adjusted post return is the average market-adjusted return for each company during the third quarter of 2000. The variable Board Rep-Dem is a dummy variable that takes a value of 1 if a company is politically connected to the Republicans, a value of -1 if a company is politically connected to the Democrats, and a value of 0 otherwise. The variable Donations Rep-Dem is a dummy variable that takes a value of 1 if a company donates more to the Republicans than to the Democrats, a value of -1 if a company donates more to the Democrats than to the Republicans, and a value of 0 otherwise. All models are adjusted for heteroskedasticity. The t-values are in parentheses. The symbols \*, \*\*, and \*\*\* denote statistical significance at the 10%, 5%, and 1% levels, respectively.

(a) Table 3: Postelection CARs with board connections

(b) Table 4: Market-adjusted cross-sectional CAR regressions

## 6.5 Table 5: Cross-sectional analysis of postelection CARs adjusted by industry returns

**Read:**

- Table 5 repeats the cross-sectional analysis using Fama-French thirty-industry-adjusted CARs.
- Board Rep-Dem remains positive and significant: 1.845 in model 1 and 1.786 in model 3.
- Republican board dummy coefficients remain positive and significant.
- Democratic board dummy coefficients remain negative and significant.
- Donation dummy variables become weaker and insignificant in some specifications.

**Economic message:** Table 5 is crucial for interpretation. Board connections survive industry adjustment, while donation effects look more like industry preferences. This makes the board measure more persuasive as a firm-level political-connection proxy.

## 6.6 Table 6: Timing of nominations

Read:

- Table 6 describes when politically connected director nominations occur.
- The nomination sample contains 349 announcements: 233 Republican nominees and 116 Democratic nominees.
- Nominations are not evenly distributed through the presidential cycle. 127 occur in the first year of a presidential cycle, and 220 occur in odd years.
- The table reports nominations by presidential party, Senate majority, and House majority at the time of nomination.
- The pattern suggests nominations are partly supply-driven: former politicians from the party losing power become available for corporate boards.

**Economic message:** Table 6 helps explain the timing of political director appointments. Firms tend to add political directors when the supply of former political insiders rises, especially after electoral turnover.

**Table 5**  
Cross-sectional analysis of postelection CARs adjusted by Fama-French thirty-industry returns

| Model                                       | 1                 | 2                | 3                 | 4                 | 5                | 6                  | 7                 | 8                 | 9                 | 10                |
|---------------------------------------------|-------------------|------------------|-------------------|-------------------|------------------|--------------------|-------------------|-------------------|-------------------|-------------------|
| Constant                                    | 1.502<br>(0.70)   | 2.578<br>(1.14)  | 2.298<br>(1.06)   | 1.801<br>(0.80)   | 1.723<br>(0.77)  | 1.560<br>(0.69)    | 1.636<br>(0.75)   | 2.786<br>(1.26)   | 1.503<br>(0.66)   | 12.764<br>(1.20)  |
| lnCap                                       | -0.253<br>(1.10)  | -0.351<br>(1.31) | -0.345<br>(1.31)  | -0.286<br>(1.27)  | -0.286<br>(1.23) | -0.211<br>(0.91)   | -0.263<br>(1.15)  | -0.401<br>(1.74)  | -0.244<br>(1.04)  | -0.398<br>(1.43)  |
| Book to market                              | 1.767<br>(2.047)  | 1.119<br>(1.27)  | 1.503<br>(1.72)   | 1.569<br>(1.80)   | 1.548<br>(1.78)  | 1.675<br>(1.92)    | 1.776<br>(2.07)   | 1.423<br>(1.62)   | 1.800<br>(2.08)   | 1.427<br>(1.42)   |
| Market-adjusted post return                 | 0.035<br>(0.96)   | 0.037<br>(0.97)  | 0.033<br>(0.89)   | 0.031<br>(0.85)   | 0.027<br>(0.74)  | 0.044<br>(1.17)    | 0.036<br>(0.98)   | 0.033<br>(0.87)   | 0.037<br>(0.99)   | 0.033<br>(0.87)   |
| Board Rep-Dem                               | 1.845<br>(3.69**) |                  | 1.796<br>(3.54**) |                   |                  |                    |                   |                   |                   |                   |
| Donations Rep-Dem                           |                   | 0.851<br>(1.99*) | 0.723<br>(1.72*)  |                   |                  |                    |                   |                   |                   |                   |
| = 1 if Republican board                     |                   |                  |                   | 2.288<br>(3.73**) | 1.507<br>(2.09*) |                    | 2.035<br>(3.28**) | 1.916<br>(3.07**) | 2.026<br>(3.26**) | 1.916<br>(3.07**) |
| = 1 if Republican board in Republican state |                   |                  |                   | 2.255<br>(2.047)  |                  |                    |                   |                   |                   |                   |
| = 1 if Democratic board                     |                   |                  |                   |                   |                  | -2.617<br>(2.59**) | -2.259<br>(2.37*) | -2.249<br>(2.37*) | -2.252<br>(2.37*) | -2.248<br>(2.36*) |
| = 1 if donates > 50% to Republicans         |                   |                  |                   |                   |                  |                    | 0.964<br>(1.66)   | 0.859<br>(1.58)   |                   |                   |
| = 1 if donates > 50% to Democrats           |                   |                  |                   |                   |                  |                    |                   | -0.513<br>(0.50)  | -0.047<br>(0.14)  |                   |
| R-squared                                   | 0.0474            | 0.0263           | 0.0522            | 0.0426            | 0.0487           | 0.0388             | 0.0566            | 0.0613            | 0.0570            | 0.0613            |
| Number of observations                      | 493               | 493              | 493               | 493               | 493              | 493                | 493               | 493               | 493               | 493               |

The sample comprises all S&P 500 companies in the year 2000. Each company is sorted into one of the thirty industries according to Fama-French. The dependent variable is the CAR adjusted by the equally weighted industry return of the Fama-French thirty industries and calculated over a period (t-1, t+3) days following the 2000 presidential election on November 7, 2000. lnCap is the log of the company's market capitalization at the end of 1999. Book to Market is the ratio of book value of equity and market value of equity at the end of 1999. Market-adjusted post return is the average market-adjusted return for each company during the third quarter of 2000. The variable Board Rep-Dem is a dummy variable that takes a value of 1 if a company is politically connected to the Republicans, a value of -1 if a company is politically connected to the Democrats, and a value of 0 otherwise. The variable Donations Rep-Dem is a dummy variable that takes a value of 1 if a company donates more to the Republicans than to the Democrats, a value of -1 if a company donates more to the Democrats than to the Republicans, and a value of 0 otherwise. All models are adjusted for heteroskedasticity. The t-values are in parentheses. The symbols \*, \*\*, and \*\*\* denote statistical significance at the 10%, 5%, and 1% levels, respectively.

(a) Table 5: Industry-adjusted cross-sectional CAR regressions

**Table 6**  
Timing of nominations

|                            | Nominations |      |       |
|----------------------------|-------------|------|-------|
|                            | Rep.        | Dem. | Total |
| Total                      | 233         | 116  | 349   |
| Year in presidential cycle |             |      |       |
| 1st year                   | 80          | 47   | 127   |
| 2nd year                   | 47          | 19   | 66    |
| 3rd year                   | 63          | 30   | 93    |
| 4th year                   | 43          | 20   | 63    |
| Odd/even years             |             |      |       |
| Odd years                  | 143         | 77   | 220   |
| Even years                 | 90          | 39   | 129   |
| President                  |             |      |       |
| Republican                 | 113         | 53   | 166   |
| Democratic                 | 120         | 63   | 183   |
| Senate majority            |             |      |       |
| Republican                 | 118         | 84   | 202   |
| Democratic                 | 115         | 32   | 147   |
| House majority             |             |      |       |
| Republican                 | 105         | 82   | 187   |
| Democratic                 | 128         | 34   | 162   |

This table reports the number of nominations of politically connected board members in specific years. The first sorting criterion is based on the year in a presidential cycle in which a politically connected board member is nominated. First year refers to nominations in 1981, 1985, 1989, 1993, 1997, 2001, and 2005; second year refers to nominations in 1982, 1986, 1990, 1994, 1998, and 2002; third year refers to nominations in 1983, 1987, 1991, 1995, 1999, and 2003; and fourth year refers to nominations in 1984, 1988, 1992, 1996, 2000, and 2004. The second sorting criterion is whether a board member is nominated in an odd or an even year. The third sorting criterion is based on whether the incumbent president is from the Republican or Democratic Party. The fourth and fifth criteria are based on whether the Republican or Democratic Party holds the majority in the Senate and House, respectively. The calculation of the legislative year starts on November 11, while the presidential election year starts on the day after the election.

(b) Table 6: Timing of nominations

## 6.7 Table 7: The announcement effect of the nomination of connected board members

Read:

- Table 7 is the main nomination-event table.
- Across all 349 announcements, the two-day abnormal return is 0.69% equally weighted and 1.20% value weighted.
- Both Republican and Democratic nominees generate positive abnormal returns.

- Former Senate, House, and administration officials generate especially strong value-weighted effects, but “other” political connections are not zero in all specifications.
- Early nominations of a political director appear more valuable in value-weighted results than later nominations.
- Related nominees have higher returns than not-related nominees: 1.16% versus 0.49% equally weighted, and 2.28% versus 0.77% value weighted.
- Even not-related nominees generate positive and significant returns, which suggests that political access itself matters, not only industry expertise.

**Economic message:** Table 7 shows that firms gain value when they obtain political directors. Expertise adds value, but the broad positive effect across categories indicates that the market prices political access itself.

## 6.8 Table 8: Comparison of announcement effect to matching sample

**Read:**

- Table 8 compares politically connected nominations with matched same-firm nonpolitical board nominations.
- In the full matched sample, politically connected nominations produce 0.76% equally weighted and 1.28% value-weighted CARs, while matched nonpolitical nominations produce 0.07% and -0.37%.
- The difference is positive and highly significant in both weighting schemes.
- Results are similar after excluding CEO nominations and internal promotions.
- Results also remain similar after excluding multiple same-day board announcements.

**Economic message:** Table 8 rules out a simple “new director” story. The market reaction is attached to political connectedness rather than to board expansion, director independence, or ordinary governance news.

Table 7.

The announcement effect of the nomination of connected board members

| Connection type                                           | Number of observations | Equally weighted CAR (%) (0, +1) | Value-weighted CAR (%) (0, +1) |
|-----------------------------------------------------------|------------------------|----------------------------------|--------------------------------|
| All companies                                             | 349                    | 0.69 (3.88**)                    | 1.20 (9.41**)                  |
| Panel A: Nominee's party                                  |                        |                                  |                                |
| Rep. nominee (A)                                          | 233                    | 0.44 (2.21*)                     | 0.88 (5.54**)                  |
| Dem. nominee (B)                                          | 116                    | 1.21 (3.61**)                    | 1.40 (6.42**)                  |
| Difference (A – B) ( <i>t</i> -value)                     |                        | –0.77 (–3.05**)                  | –0.52 (–2.88**)                |
| Panel B: Former career                                    |                        |                                  |                                |
| Senate, House, Administration (C)                         | 264                    | 0.72 (3.69**)                    | 1.43 (9.60**)                  |
| Others (D)                                                | 85                     | 0.60 (1.37)                      | 0.19 (1.10)                    |
| Difference (C – D) ( <i>t</i> -value)                     |                        | 0.12 (0.29)                      | 1.24 (5.22**)                  |
| Panel C: Nomination order in time                         |                        |                                  |                                |
| 1st and 2nd nomination (E)                                | 178                    | 0.63 (3.16**)                    | 1.70 (10.96**)                 |
| Over 2nd nomination (F)                                   | 171                    | 0.76 (2.33*)                     | 0.80 (3.30**)                  |
| Difference (E – F) ( <i>t</i> -value)                     |                        | –0.13 (–0.48)                    | 0.90 (4.44**)                  |
| Panel D: Administration board and president at nomination |                        |                                  |                                |
| Same party (G)                                            | 81                     | 1.00 (2.08*)                     | 2.10 (5.42**)                  |
| Different party (H)                                       | 96                     | 0.62 (2.20*)                     | 0.80 (3.13**)                  |
| Difference (G – H) ( <i>t</i> -value)                     |                        | 0.38 (0.99)                      | 1.30 (4.03**)                  |
| Panel E: Board party and House/Senate party at nomination |                        |                                  |                                |
| Same party (I)                                            | 175                    | 0.51 (1.52)                      | 0.80 (4.31**)                  |
| Different party (J)                                       | 174                    | 0.87 (3.94**)                    | 1.44 (8.07**)                  |
| Difference (I – J) ( <i>t</i> -value)                     |                        | –0.36 (1.26)                     | –0.64 (3.52**)                 |
| Panel F: Industry 1                                       |                        |                                  |                                |
| Regulated (K)                                             | 79                     | 0.82 (2.81**)                    | 1.25 (3.48**)                  |
| Not regulated (L)                                         | 270                    | 0.66 (2.86**)                    | 1.18 (8.72**)                  |
| Difference (K – L) ( <i>t</i> -value)                     |                        | 0.16 (0.65)                      | 0.07 (0.34)                    |
| Panel G: Industry 2                                       |                        |                                  |                                |
| High procurement (M)                                      | 48                     | 0.70 (1.30)                      | 1.40 (2.86**)                  |
| Low procurement (N)                                       | 90                     | 0.60 (2.76**)                    | 1.24 (7.09**)                  |
| Difference (M – N) ( <i>t</i> -value)                     |                        | 0.10 (0.32)                      | 0.16 (0.56)                    |
| Panel H: Relatedness                                      |                        |                                  |                                |
| Related nominee (O)                                       | 108                    | 1.16 (3.89**)                    | 2.28 (11.56**)                 |
| Not related nominee (P)                                   | 241                    | 0.49 (2.09*)                     | 0.77 (4.03**)                  |
| Difference (O – P) ( <i>t</i> -value)                     |                        | 0.67 (1.82 <sup>§</sup> )        | 1.51 (5.50**)                  |

The sample is based on politically connected board members in S&P 500 companies in the years 1996 and 2000. For these board members, a search in the Lexis-Nexis database yields 592 announcements of board nominations. The press reports on 243 of these announcements containing other price-relevant information such as dividend or earnings announcements, share repurchases, or M&A activity. Eliminating these announcements yields a final sample of 349 announcements that are used. Companies are subclassified by several methods: panel A is based on the nominated directors' party affiliation, panel B on directors' former political position, panel C on the order in time of the nomination: first two times a directors is nominated versus third nomination and above, panel D on whether the nominee worked for the administration and his or her party is the same as that of the president at the nomination day, panel E on whether the nominee's party and the party with the majority in House or Senate at the nomination day are the same, panel F on whether the nominating company is in the banking or utilities industries, panel G on whether the nominating company is in one of the three industries with the highest levels of government shipments as measured by Agrawal and Knoeber (2001) or in any other of their sample industries, and panel H on the relatedness of the connection (as detailed earlier). The CARs for each of the sample portfolios are calculated in the same way as before. In parentheses are *z*-values. The symbols <sup>§</sup>, \*, and \*\* denote statistical significance at the 10%, 5%, and 1% levels, respectively.

(a) Table 7: Nomination effect of connected board members

Table 8

Comparison of announcement effect to matching sample

|                                                                       | Number of observations | Equally weighted CAR (%) (0, +1) | Value-weighted CAR (%) (0, +1) |
|-----------------------------------------------------------------------|------------------------|----------------------------------|--------------------------------|
| Panel A: Full sample                                                  |                        |                                  |                                |
| Original sample (A)                                                   | 319                    | 0.76 (3.98**)                    | 1.28 (9.63**)                  |
| Matched sample (B)                                                    | 319                    | 0.07 (0.86)                      | –0.37 (1.72 <sup>§</sup> )     |
| Difference (A – B) ( <i>t</i> -value)                                 |                        | 0.69 (4.70**)                    | 1.65 (9.21**)                  |
| Panel B: Excluding CEOs and promotions                                |                        |                                  |                                |
| Original sample (C)                                                   | 287                    | 0.81 (4.18**)                    | 1.38 (9.81**)                  |
| Matched sample (D)                                                    | 287                    | 0.10 (0.71)                      | –0.13 (0.80)                   |
| Difference (C – D) ( <i>t</i> -value)                                 |                        | 0.71 (4.19**)                    | 1.51 (9.93**)                  |
| Panel C: Excluding CEOs, promotions, and multiple board announcements |                        |                                  |                                |
| Original sample (E)                                                   | 259                    | 0.83 (3.99**)                    | 1.47 (9.98**)                  |
| Matched sample (F)                                                    | 259                    | –0.09 (0.33)                     | –0.26 (1.95 <sup>§</sup> )     |
| Difference (E – F) ( <i>t</i> -value)                                 |                        | 0.92 (3.77**)                    | 1.73 (12.31**)                 |

The original sample is constructed in the same way as in Table 7 and results in 319 announcements. The matching sample is constructed by a search in Lexis-Nexis. A matching observation is identified in the following way: for each announcement in a company in the original sample, the closest possible announcement of another board member in the same company is chosen. This has to occur in a maximum interval of [–3, 3] years around the day of the announcement in the original sample. This search yields 319 announcements in the matching sample. Panel A reports the results for the comparison of this sample. Panel B excludes thirty-two announcements of CEOs and internal promotions (e.g., CFOs). Panel C excludes twenty-eight more observations in which multiple board members are announced on the same day. The CARs for each of the sample portfolios are calculated in the same way as before. In parentheses are *z*-values. The symbols <sup>§</sup>, \*, and \*\* denote statistical significance at the 10%, 5%, and 1% levels, respectively.

(b) Table 8: Matched nonpolitical nomination comparison

## 7 Short summary

- The paper studies whether politically connected boards affect firm value in the United States.
- It hand-collects political backgrounds of S&P 500 directors from proxy statements.
- Firms are classified by whether their boards are connected to Republicans, Democrats, both parties, or neither.
- The 2000 presidential election is used as a political-power shock.
- Republican-connected firms rise after the Republican victory; Democratic-connected firms fall, especially in value-weighted tests.
- The return spread between Republican- and Democratic-connected firms is economically large.
- The results survive firm controls and industry adjustment.

- Donation-based measures are weaker after industry adjustment, suggesting donations partly capture industry preferences rather than firm-level access.
- Announcements of politically connected board nominations generate positive abnormal returns.
- Matched nonpolitical director nominations do not generate comparable positive returns.
- Related political expertise adds value, but not-related political connections also produce positive returns.
- The paper’s central contribution is to show that political connections can be valuable even in a strong-institution environment like the United States.

## 8 Conclusion

### 8.1 Core conclusion

Goldman, Rocholl, and So show that politically connected boards are associated with higher firm value when those connections become politically useful. The evidence comes from two complementary event designs: the 2000 presidential election and the announcement of politically connected board nominations. The results indicate that markets treat political connections as valuable firm assets.

### 8.2 Economic intuition

A politically connected director may help a firm understand regulation, navigate government agencies, anticipate policy changes, gain access to policymakers, or compete for government contracts. These benefits are most valuable when the director’s political network is in power, which explains why Republican-connected firms gain value after the Republican victory in 2000 and Democratic-connected firms lose value. The nomination results show that the market also values the acquisition of political access itself.

### 8.3 Incremental contribution revisited

The paper contributes to both political economy and corporate governance. In political economy, it shows that political connections matter not only in weak-institution countries but also in the United States. In corporate governance, it expands the set of board functions: directors can create value through networks and political access, not just monitoring, advising, or expertise. Methodologically, the paper improves on donation-based studies by using direct biographical information on board members.

### 8.4 Implications for boards, investors, and political economy

The findings imply that investors should pay attention to directors’ political backgrounds when valuing firms, especially in industries exposed to regulation, procurement, tariffs, tax policy, or government discretion. For boards, the paper suggests that director networks can be economically important. For political economy, the paper raises a deeper issue: even when formal institutions are strong, political access can still be valuable enough to move equity prices.

## 8.5 Limitations

The paper does not directly observe every mechanism through which political connections create value. It cannot fully distinguish procurement, regulation, lobbying, information, and access channels. Board nominations are endogenous, and politically connected directors may join firms that already have a strong demand for government access. The paper measures market expectations of value, not every realized long-run benefit. The connection measure is also conservative because it excludes informal and non-board political networks.

## 8.6 Takeaway

The enduring takeaway is that political connections are priced by the stock market. In this paper, a politically connected board is not merely a symbolic governance feature. It is an economically meaningful asset whose value rises or falls with the political environment.